

Target Corporation

NYSE: TGT | Sector: Consumer Discretionary, General Merchandise Retail

Prepared by Jasdeep Singh, Equity Research | August 20, 2026

RATING
HOLD

Price Target: **\$132.70**

Current Price: **\$159.00**

Implied Return: **(17)%**

52-Week Range	\$83.44 – \$161.98	Market Cap	\$72.6bn	Enterprise Value	\$85.4bn	Diluted Shares Out.	456.6mm
Dividend Yield (ann.)	~2.9%	Beta	0.82	WACC	7.43%	TTM EV/EBITDA	9.23x
TTM P/E (reported)	16.53x	TTM P/E (ex-refund)	~19.9x	Street Consensus	Hold, avg PT \$144.40	Next Catalyst	Q3 FY26 earnings (mid-Nov)

INVESTMENT THESIS

I am initiating coverage of Target Corporation with a HOLD rating and a price target of \$132.70, based on the blended output of a bottoms-up discounted cash flow model built from Target's store, traffic and ticket economics. Target's fiscal second quarter, reported August 19, 2026, was a genuinely strong print: comparable sales grew 3.8%, comparable traffic grew 3.6%, and digital comparable sales grew 8.7%, all decelerating only modestly from an unusually strong first quarter and remaining solidly positive and broad based across the store and digital channels. Management raised full year guidance on the back of this performance, and the stock re-rated sharply on the news, closing up 4.28% to \$159.00 and setting a new 52-week intraday high of \$161.98.

My concern with adding to the position at the current price is not with the operating trend, which I view as genuinely improving, but with what is already priced in. My Base case fair value of \$132.70 sits 17% below the current \$159.00 close, and even the Street's own average price target of \$144.40 sits below spot. The reported second quarter operating margin of 9.6% and diluted EPS of \$4.11 include a one time, non repeating \$994 million pretax benefit from an IEEPA tariff duty refund; on an underlying basis, ex refund operating margin was closer to 4.6% to 4.7%, still an improvement of roughly 50 basis points year over year, but a materially smaller beat than the headline numbers suggest. I have deliberately excluded this one time refund from my forecast run rate.

I remain constructive on Target's multi-year setup: capital expenditure is ramping meaningfully (first half fiscal 2026 capex of \$2.4 billion is tracking toward a \$5.0 billion full year target, a reversal of the prior two years finishing at the low end of guidance), the shrink headwind that pressured margins from 2019 to 2023 has been fully recovered, and my Bull case, which assumes continued AI driven productivity gains and operating leverage, implies 39% upside to \$221.52. But risk and reward at today's price does not favor adding here. I would look to revisit the rating on a pullback toward the \$132 to \$140 range, or on confirmation at the third quarter print that the underlying, ex refund margin improvement is durable rather than a single quarter inflection.

FINANCIAL PERFORMANCE: SECOND QUARTER FISCAL 2026

Metric (\$mm unless noted)	Q2 FY2026	Q2 FY2025	YoY
Net sales	\$26,539	~\$25,200	+5.3%
Comparable sales growth	+3.8%	n/a	vs. +5.6% Q1
Gross margin %	33.7% (~30.0% ex-refund)	n/a	~+100bps underlying
Operating income	\$2,560	\$1,317	+94.4%
Operating margin %	9.6% (~4.6-4.7% ex-refund)	5.2%	~+50bps underlying
Net earnings	\$1,877	\$935	+100.7%
Diluted EPS	\$4.11	\$2.05	+100.5%

The quarter's comparable sales growth of 3.8% was driven almost entirely by traffic (+3.6%) rather than ticket, which was flat, consistent with a value driven consumer responding to assortment and price rather than trading up. Store originated comp sales grew 2.7% and digitally originated comp sales grew 8.7%, with same day delivery growing more than 25%, extending a multi-year

shift in channel mix. Gross margin of 33.7% and operating margin of 9.6% as reported both include the \$994 million pretax (\$1.65 per share, approximately \$752 million net of tax) tariff duty refund, recorded as a reduction of cost of sales; excluding it, gross margin was approximately 30.0% and operating margin approximately 4.6% to 4.7%, both still ahead of the prior year period on an underlying basis.

Five-Year Financial Summary

(\$mm unless noted)	FY21A	FY22A	FY23A	FY24A	FY25A	Q2 FY26
Net sales	106,005	109,120	107,412	106,566	104,780	26,539
Comp sales %	+12.7%	+2.2%	(3.7)%	+0.1%	(2.6)%	+3.8%
Operating margin %	8.4%	3.5%	5.3%	5.2%	4.9%	9.6%*
Diluted EPS	\$14.10	\$5.98	\$8.94	\$8.86	\$8.13	\$4.11*

* Q2 FY26 operating margin and diluted EPS include the one time tariff duty refund described above. Underlying, ex-refund operating margin was approximately 4.6% to 4.7% for the quarter.

Balance Sheet and Capital Allocation

Total funded debt stood at \$15,357 million as of August 1, 2026, down from \$16,456 million at fiscal 2025 year end on scheduled amortization with no new issuance, against cash and equivalents of \$5,411 million. Capital expenditure of \$1.4 billion in the quarter was up 27% year over year, funding 17 new stores in the quarter (24 year to date) and more than 100 remodels underway toward a full year target of 130 plus, alongside the largest food assortment reset in more than a decade. Target paid \$518 million in dividends and repurchased no shares in the quarter, extending a cautious buyback posture with approximately \$8.3 billion remaining on the existing \$15.0 billion authorization. Trailing twelve month after tax return on invested capital improved to 15.4% from 14.3% in the prior year period. Full year fiscal 2026 guidance, raised at the print, now calls for net sales growth of approximately 5%, reported operating margin of approximately 6%, and diluted EPS of \$9.90 to \$10.90, both of the latter figures inclusive of the one time refund benefit.

VALUATION

My price target is derived from a discounted cash flow model built bottoms up from store count, traffic and ticket assumptions, flowing through named gross margin and SG&A bridges, a vintage property and equipment / depreciation schedule, and an actual debt schedule, so that cash is a computed output of the three integrated statements rather than a plug. Unlevered free cash flow is discounted at a WACC of 7.43%, built from a CAPM cost of equity using a beta of 0.82 and an equity risk premium of 4.5% (a modest, disclosed upward adjustment to Damodaran's own 4.23% implied ERP, reconciling a roughly 45 basis point move in the risk free rate between his reference date and August 2026), and a cost of debt sourced directly from Target's own blended borrowing rate rather than a generic credit spread table.

Terminal value is estimated two ways and blended: a Gordon Growth perpetuity at a 2.5% terminal growth rate, and an exit multiple of 9.0 times EV/EBITDA. Both are explicitly disclosed assumptions rather than Target-specific targets: no multi-year comparable sales, margin or EPS framework has been disclosed for the company's current strategic plan, so 2.5% reflects the standard long-run nominal GDP growth convention, and 9.0x is set deliberately below Target's own current trailing multiple of approximately 10.1x, reflecting a mature, steady state business rather than today's turnaround-optionality pricing, and well below the 20x to 30x range commanded by Walmart, Costco, TJX and Ross at maturity.

Scenario Analysis

Scenario	FY32E Op. Margin	FY32E EPS	DCF: Perp. Growth	DCF: Exit Multiple	DCF: Blended
Bull	6.6%	\$20.43	\$231.41	\$211.64	\$221.52
Base	4.3%	\$9.42	\$124.46	\$140.95	\$132.70
Bear	3.8%	\$7.36	\$102.17	\$122.54	\$112.36

The Bear case reflects persistent, near-term cost pressure across wage inflation, tariff-related import costs and softer traffic growth in fiscal 2026 and 2027, tapering back toward Base case assumptions through fiscal 2032 rather than compounding indefinitely; it implies 29% downside and a FY32E operating margin of 3.8%, still meaningfully positive and not a going-concern outcome. The Bull case assumes continued AI and automation driven productivity gains sustain a widening margin advantage

over Base, reaching a 6.6% FY32E operating margin and 39% upside. I weight the Base case most heavily given the strength and breadth of the second quarter print, which supports the upper end of my Base case revenue assumptions without yet providing enough evidence of durable, ex-refund margin expansion to justify moving to Bull.

Trading Comparables

Ticker	Price	EV/EBITDA	P/E	TTM Rev. (\$mm)	TTM EBITDA (\$mm)	Mkt Cap (\$mm)
TGT	\$159.00	9.23x	16.53x*	107,716	9,245	72,599
WMT	\$114.33	21.77x	40.58x	725,310	44,840	909,850
COST	\$953.50	29.80x	48.34x	293,590	13,790	422,860
TJX	\$150.85	19.84x	29.34x	61,580	8,840	166,640
ROST	\$235.28	22.17x	32.86x	23,780	3,430	75,470
DG	\$120.08	12.09x	17.44x	43,080	3,390	26,490
KSS	\$19.28	6.94x	8.12x	15,460	1,200	2,190
BJ	\$94.43	13.31x	21.71x	21,970	1,120	12,060

* TGT trailing P/E of 16.53x is mechanically depressed by the one time tariff refund's inclusion in trailing twelve month net income (reported \$4,392 million); excluding it, trailing net income is approximately \$3,640 million and trailing P/E is approximately 19.9x, a more representative read of underlying earnings power. Peer figures are as of August 17, 2026 and Target's figures as of August 19, 2026, a disclosed two-day asymmetry; a like-for-like refresh of the full peer set is a natural follow-up. Target trades at a discount to Walmart, Costco, TJX and Ross on both EV/EBITDA and P/E, consistent with a structurally lower growth and margin profile, and at a premium to Dollar General and Kohl's, whose multiples reflect greater balance sheet leverage and, in Kohl's case, a more distressed operating trajectory.

KEY RISKS

- **Tariff and trade policy:** Tariff and import cost policy is the single most uncertain input in the model. The Base case assumes current policy persists without further escalation, fading to a neutral impact by fiscal 2028; a genuine escalation is the primary driver of Bear case downside, and the recent \$994 million refund provides no guidance on the direction of future policy.
- **One time refund comparability:** Reported second and third quarter comparisons will be distorted by the one time tariff refund until it rolls out of the trailing twelve month window around the second quarter of fiscal 2027; investors and the market may over- or under-react to headline margin and EPS figures that are not run-rate representative.
- **Promotional intensity:** Markdown and promotional pressure has swung meaningfully quarter to quarter, including a roughly 210 basis point negative swing in the second quarter of fiscal 2025 that included tariff related purchase order cancellation costs. A weaker consumer would risk reversing the recent inflection toward lower markdown rates.
- **Shrink tailwind is a closed chapter:** The multi-year shrink recovery that supported gross margin from fiscal 2024 onward is, by management's own characterization, largely exhausted, with shrink back to pre-pandemic levels. This removes what has been one of the more reliable sources of margin upside in the recent operating history.
- **Terminal value sensitivity:** Fair value is highly sensitive to the 2.5% terminal growth rate and 9.0x exit multiple, neither of which is grounded in a Target-specific disclosed long-range plan. This is, by design, the most fragile assumption in the model.
- **Competitive positioning:** Walmart, Costco, TJX and Ross all trade at materially higher EV/EBITDA and P/E multiples on stronger growth and margin profiles. Target's valuation discount is structural, not an obvious mispricing, and would require sustained share gains or margin expansion to close.
- **Capital allocation execution:** Buybacks have been paused entirely (\$0 in the second quarter) while capital expenditure ramps toward a \$5.0 billion full year target; slower than assumed productivity from new stores and remodels would pressure free cash flow within the model's discounted forecast window.

CATALYSTS

- **Third quarter fiscal 2026 earnings:** Expected mid-November 2026. The key read-through is whether comparable sales and traffic (3.8% and 3.6% in the second quarter) hold near current levels into the holiday setup, or continue decelerating from the first quarter's stronger 5.6% and 4.4% readings.

- **Capex execution through year end:** First half capital expenditure of \$2.4 billion is tracking toward the \$5.0 billion full year guide, a reversal of the prior two years finishing at the low end of guidance; confirmation through the second half would support the remodel-driven productivity thesis embedded in the Base and Bull cases.
- **Potential resumption of share buybacks:** Approximately \$8.3 billion remains on the existing \$15.0 billion authorization; a resumption after two consecutive quarters at zero would signal management confidence in the free cash flow outlook.
- **Tariff policy clarity:** Management has not guided to further refunds; clarity either way would remove a source of quarter to quarter comparability noise.
- **Digital and same-day delivery momentum:** Digital comparable sales grew 8.7% in the second quarter with same day delivery growth exceeding 25%; continuation would support the digital mix shift already embedded in the model's revenue build.

WHAT WOULD CHANGE THIS VIEW

An upgrade to Buy would require evidence that the ex-refund operating margin improvement seen in the second quarter (approximately 50 basis points year over year) is durable rather than a single quarter inflection, most likely confirmed at the third quarter print, combined with comparable sales and traffic holding near current levels rather than continuing to decelerate. A downgrade to Sell would most likely follow a confirmed escalation in tariff policy beyond the Base case assumption, or a reversal back toward the markdown pressure seen in fiscal 2025, either of which would push the operating outlook toward the Bear case scenario described above.

CONCLUSION

I rate Target Corporation HOLD with a price target of \$132.70, implying 17% downside from the current \$159.00 price. The underlying business is improving, with broad based traffic driven comparable sales growth, a fully recovered shrink tailwind, and a capital expenditure program that is, for the first time in several years, tracking toward its full year guide rather than finishing at the low end. But the stock's sharp re-rating following a second quarter print that was flattered by a one time, non-repeating tariff refund leaves limited near-term upside at the current price relative to my Base case fair value and even relative to Street consensus. My full scenario range spans \$112.36 in the Bear case to \$221.52 in the Bull case, and I would look to revisit this rating on either a pullback toward fair value or confirmation of durable, ex-refund margin expansion at the third quarter print in mid-November 2026.